

Procure Space ETF

SPCX NASDAQ

Hold	\$138.94 ▼ 1.67%	12M Price Target \$155.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.83T
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SPCX: Space ETF Cools After Musk's \$900B Reveal

WHAT HAPPENED

- SPCX is down 1.67% today to \$138.94, and honestly the price action this week has been schizophrenic — up 9.6% Wednesday, down 3.3% Thursday, down again today. That's classic "hot money" behavior (short-term traders piling in and out), not conviction buying.
- The Musk/SpaceX \$900B stake filing is the headline mover — it's technically bullish for space as a theme, but it also reminds everyone that SPCX is heavily influenced by one privately-held megacap it can't even fully own. That's a double-edged sword.

WHY IT MATTERS

Here's what today's move really tells you: the space trade is getting "frothy" (meaning too much excitement, not enough fundamentals) and traders are taking profits after the SpaceX headlines. The Yahoo piece calling this "Wall Street's riskiest trades back on top" is a warning sign — when your ETF gets lumped in with meme stocks and crypto, you're trading on sentiment, not earnings. The SpaceX-Cursor acquisition news (\$60B for an AI coding platform) signals that private space giants are now aggressively expanding into adjacent tech, which long-term expands the total market for SPCX's holdings but short-term makes valuations harder to justify. Bottom line: this is a "buy the dip, don't chase the rip" setup right now.

POLICY & POLITICAL WATCH

The big political tailwind for SPCX is the FY2027 defense authorization currently being debated in Congress, which includes a proposed ~15% bump for Space Force procurement and satellite communications — that directly benefits SPCX holdings like Rocket Lab, Iridium, and Viasat. Also watch the FAA's commercial launch licensing reform, which the Trump administration has been pushing to streamline (fewer regulatory hoops = more launches = more revenue for launch providers). The wildcard: any ITAR export control tightening (rules on selling space tech abroad) could hurt international revenue for some SPCX components, so keep an eye on any China-related tech export announcements.

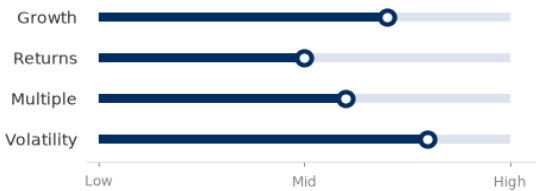
IS IT EXPENSIVE?

SPCX is trading at 28% of its 52-week range (\$105-\$226), so it's closer to the lows than the highs — not screaming expensive on price alone. But because it's an ETF, "valuation" is really the weighted average of what its holdings trade at, and space names are generally priced at 8-15x forward sales (meaning investors pay \$8-15 for every \$1 of expected revenue) versus ~3x for the broader market. That premium is defensible IF the defense/commercial space spending keeps flowing — but it's not a bargain.

Key Data

Price (USD)	\$138.94
12M Price Target	\$155.00
Upside / (Downside)	+11.6%
Market Cap	\$1.83T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$150.00	\$142.00	\$128.00
6 Months	\$175.00	\$155.00	\$120.00
1 Year	\$210.00	\$165.00	\$115.00
2 Years	\$260.00	\$195.00	\$105.00
5 Years	\$380.00	\$260.00	\$90.00
10 Years	\$600.00	\$400.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.2% over 5 days) is on fire, likely tied to geopolitical tension and OPEC signaling — that's rotation into "real assets." Utilities and Comm Services also holding up because of AI-power-demand thesis.

COOLING OFF: Consumer Discretionary is negative on the 5-day, which tells you the consumer is getting cautious — not great for anything speculative, including space.

ROTATION WATCH: Money is moving OUT of high-multiple growth (which includes space) and INTO cash-flowing defensives and energy. That's a mild headwind for SPCX until the rotation exhausts itself.

RELATED PLAY: If you like the space theme but want less volatility, consider defense primes like LMT or NOC — they get the same government spending tailwind but pay dividends and don't swing 10% a week.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning on launch cadence and the Neutron rocket program — direct beneficiary of commercial + defense demand.
- IRDM (Iridium): Steady cash flow from satellite communications, less speculative than pure launch names.

SPCX CONTEXT: SPCX is lagging its hottest individual holdings this week because ETFs smooth out the winners and losers. That tells you if you want maximum upside, individual names beat the ETF — but if you want diversified exposure without picking winners, SPCX does its job.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space thesis but the near-term setup is choppy and sentiment-driven, not fundamentals-driven.

POSITION SIZE: 2-4% of portfolio — enough to matter if it works, small enough to survive a 30% drawdown without panic.

ENTRY POINTS: I'd add on pullbacks to \$128-133, not chase green days. The stock has shown it'll give you a re-entry.

TIME HORIZON: 12-36 months — the real catalyst is the defense budget cycle and the eventual SpaceX IPO (which would be a monster event for the sector).

WHEN TO BAIL: If the FY2027 defense bill strips space funding, or if we see a catastrophic launch failure at SpaceX/Rocket Lab, I'm reducing.

HEDGING: Easiest hedge is to keep this position small and hold some cash for when it dips. If you want to get fancy, buy a put option (a contract that pays you if the stock falls) 10% below current price as insurance during earnings season.